

Margins help an investor determine whether increases in costs, whether on account of inflation or governmental levies, have been passed onto customers in part or in full. Should there be a strong demand for the company's product, it will pass on the entire cost increase to the customers. On the other hand, if the demand for the company's products is not very high, the company would often bear a part of the cost increase because of the fear that the customer would not purchase the product. A good example of falling margins is the TV industry. As competition is intense and the buyer has a choice between several brands, manufacturers have been bearing a portion of cost increases and, in some instances, have dropped their prices in order to be competitive.

Product mix has an effect on margins. A company may be selling several products — each of them priced differently. Some may be high margin products and others low margin ones. If more high margin products are sold, the margin earned by the company would be high. Conversely, if more low margin products are sold, the average margin earned on sales will reduce. It must be remembered that low margin businesses are not bad. Some of the most successful businesses in the world are low margin ones that operate with very high turnovers and produce an impressive return on capital employed.